

First Deal, Step by Step

A plain walkthrough of financing, underwriting, and closing for your first Pittsburgh rental.

Before You Start

Cash on hand	Enough for your down payment, closing costs, and at least three months of reserves. Do not spend down to zero to win a deal.
Your paperwork	Two years of tax returns, recent pay stubs or profit and loss statements, and bank statements. A lender will ask for these early, so have them ready.
A clear target	One sentence that describes the deal you want: property type, area, price range, and the monthly cash flow that makes it worth doing.

The Process, Step by Step

- 1 Get preapproved and set your real budget**

Talk to a lender before you look at a single listing. A preapproval tells you what you can actually borrow, and how much cash you need on hand at closing.
- 2 Contact Matt for his underwriting worksheet**

Before you tour anything, get the worksheet Matt uses on his own deals: estimated rent, taxes, insurance, vacancy, maintenance, management, and the mortgage payment. It becomes the yardstick you hold every future deal against.
- 3 Tour in person or virtually with Matt**

Walk the property together, or join a video walkthrough if you are out of state. Roof age, plumbing, electrical panel, foundation, and mechanicals get noted on the spot. Do not start pricing repairs in your head yet, that comes later.
- 4 Write an offer**

This is the fun part. Once the numbers work and the tour confirms what you expected, it is time to move. Writing the offer is a green light, not a leap.
- 5 Order the inspection, then rework the numbers**

Use what the inspector finds to adjust your offer, request repairs, or update your rehab budget. Run your worksheet again with the real numbers.
- 6 Clear your financing conditions quickly**

Send whatever your lender asks for the same day they ask for it. Slow paperwork is the most common reason a closing gets delayed.
- 7 Close, then set up management on day one**

Line up a property manager or your own system before you get the keys. Have the lease and rent roll ready, and fund your reserve account before your first tenant moves in.

Three Financing Paths Worth Knowing

Conventional investment loan

The standard path for a straightforward rental. Expect a larger down payment than a primary residence, typically 20 to 25 percent, and a rate slightly above owner occupied loans.

FHA or house hack loan

If you plan to live in one unit of a duplex, triplex, or fourplex, an FHA loan can let you buy with a much smaller down payment while the other units generate income.

DSCR loan

A loan underwritten around the property's own rental income rather than your personal income. Useful once you already own a property or want to keep growing without your income becoming the bottleneck.

Conventional vs Commercial Loans

Most first time investors start with a conventional loan. Once you move into five or more units, or a commercial property, the loan changes shape entirely. Here is the short version.

	Conventional	Commercial
BASED ON	Your personal income, credit, and tax returns	The property's income, usually through an LLC or corporation
TYPICAL DOWN	15 to 25 percent	20 to 35 percent
TYPICAL TERM	15 or 30 year fixed	5 to 10 year term, often with a balloon
UNIT LIMIT	Capped at 4 units	No real floor, can apply to 1 unit and up
BEST FOR	Your first rental or two	Scaling once income alone cannot qualify you

This is a simplified comparison. Actual terms vary by lender, property, and borrower profile.

Clients should consult with multiple lenders to explore all the loan products available to them before making a financing decision.

Closing Day Cheat Sheet

Costs vary by lender and county, but expect line items like these on your closing statement:

- Loan origination and underwriting fees
- Appraisal and credit report fees
- Title search and title insurance
- Recording fees and transfer taxes (Allegheny County 2%)
- Prorated property taxes and insurance
- Prepaid interest and escrow reserves

This guide is educational, not financial or legal advice. Every lender, county, and property is different, so confirm details with your lender, title company, and real estate professional.